

# **Tentative Rulings for September 18, 2026 Department PS1**

**To request oral argument, you must notify Judicial Secretary  
Carol Delfosse-Kidd at (760) 904-5722  
and inform all other counsel no later than 4:30 p.m.**

This court follows California Rules of Court, Rule 3.1308 (a) (1) for tentative rulings (see Riverside Superior Court Local Rule 3316). Tentative Rulings for each law & motion matter are posted on the Internet by 3:00 p.m. on the court day immediately before the hearing at [Riverside Superior Court-Tentative Rulings](#). If you do not have Internet access, you may obtain the tentative ruling by telephone at (760) 904-5722.

To request oral argument, no later than 4:30 p.m. on the court day before the hearing you must (1) notify the judicial secretary for Department PS1 at (760) 904-5722 and (2) inform all other parties of the request and of their need to appear remotely, as stated below. If no request for oral argument is made by 4:30 p.m., the tentative ruling **will become the final ruling** on the matter effective the date of the hearing. **UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.**

COUNSEL AND SELF-REPRESENTED PARTIES ARE ENCOURAGED TO APPEAR AT ANY LAW AND MOTION DEPARTMENT TELEPHONICALLY WHEN REQUESTING ORAL ARGUMENTS.

For information and instructions on remote appearances via **ZOOM**, visit the court's website at [Riverside Superior Court-Remote Appearances](#)

You may also make a Telephonic Appearance: On the day of the hearing, call into one of the below listed phone numbers, and input the meeting number (followed by #):

- Call-in Numbers: 1-833-568-8864 (Toll Free), 1-669-254-5252, 1-669-216-1590, 1-551-285-1373 or 1-646-828-7666
- Meeting Number: **160 520 9376**

Please **MUTE** your phone until your case is called and it is your turn to speak. It is important to note that you must call fifteen (15) minutes prior to the scheduled hearing time to check in or there may be a delay in your case being heard.

**Riverside Superior Court provides official court reporters for hearings on law and motion matters only for litigants who have been granted fee waivers and only upon their timely request. (See General Administrative Order No. 2021-19-1) Other parties desiring a record of the hearing must retain a reporter pro tempore.**

1.

| CASE #      | CASE NAME             | HEARING NAME                                                                                                   |
|-------------|-----------------------|----------------------------------------------------------------------------------------------------------------|
| CVPS2501436 | NATHANSON VS BJJ, LLC | MOTION TO DETERMINE GOOD FAITH SETTLEMENT ON 2ND AMENDED COMPLAINT OF LARRY NATHANSON BY BJJ, LLC, JEFF HOBSON |

**Tentative Ruling:** No tentative ruling. Hearing is continued to 11.24.26.

Moving parties are directed to either resubmit the Good Faith Settlement Determination to the court and to serve all parties for review or vacate the motion in light of the court's denial of submitting the Determination Motion under seal.

2.

| CASE #      | CASE NAME             | HEARING NAME                                     |
|-------------|-----------------------|--------------------------------------------------|
| CVPS2501436 | NATHANSON VS BJJ, LLC | MOTION FOR ORDER TO SEAL DOCUMENT(S) BY BJJ, LLC |

**Tentative Ruling:** The general rule is that unless confidentiality is required by law, court records are presumed to be open to the public. (California Rules of Court, rule 2.550(c).) A document cannot be filed under seal without court approval. (California Rules of Court, rule 2.551(a).) "The court must not permit a record to be filed under seal based solely on the agreement or stipulation of the parties." (*Ibid.*) "A party requesting that a record be filed under seal must file a motion or an application for an order sealing the record. The motion or application must be accompanied by a memorandum and a declaration containing facts sufficient to justify the sealing." (California Rules of Court, rule 2.551(b)(1). California Rules of Court, rule 2.551(b)(4) also provides that the party requesting that a record be filed under seal must lodge it with the court when the motion or application is made and, pending the determination of the motion or application, the lodged record will be conditionally under seal. Documents can only be sealed if the court expressly finds there is an existing overriding interest to support the sealing; there is a substantial probability that interest will be prejudiced if the documents are not sealed; sealing is narrowly tailored to serve the overriding interest; and there is no less restrictive means of achieving the overriding interest of the parties. (*Universal City Studios v. Superior Court* (2003) 110 Cal.App.4th 1273, 1279.)

The mere showing that there is an agreement between the parties to keep information confidential without the showing of specific serious injury is not sufficient to justify the sealing of documents. (*Id.* at 182.) "[T]he party seeking closure or sealing must prove prejudice to that interest is substantially probable." (*Id.* at 183.) "There must be 'a specific showing of serious injury.' '[S]pecificity is essential. Board allegations of harm, bereft of specific examples or articulated reasoning, are insufficient.'" (*McNair v. National Collegiate Athletic Assn.* (2015) 234 Cal.App.4th 25, 35.)

The information that Moving Defendants propose to redact is the settlement amount, the amount allocated to each plaintiff, one of the Plaintiff's birthdays, the amount that Marvyn's Magic sold for in 2021, the injuries/damages Plaintiffs assert they have sustained, and the Moving Defendants' insurance policy limits. While this information is personal to the parties, Marvyn's Magic and Hobson have failed to provide any evidence to establish that they will sustain specific serious injury if this information is not sealed. While Moving Defendants contend they will be prejudiced if the documents are not sealed,

they provide no evidence to support this and only make a conclusory assertion of prejudice. Due to this, Moving Defendants have failed to establish that the information at issue should be sealed.

Defendants BJJ, LLC dba Marvyn's Magic Theater and Jeff Hobson's Motion to File Good Faith Settlement Determination Motion Under Seal DENIED.

Documents submitted to the court for review shall be returned to moving parties, with the option Defendants resubmit the GFS Determination motion after service upon all parties.

Case Management Conference confirmed for 11.24.26.

3.

| CASE #      | CASE NAME                                         | HEARING NAME                                                           |
|-------------|---------------------------------------------------|------------------------------------------------------------------------|
| CVPS2507178 | DANIEL KELLY, AN<br>INDIVIDUAL VS SAFEWAY<br>INC. | MOTION TO BE RELIEVED AS<br>COUNSEL FOR DANIEL KELLY, AN<br>INDIVIDUAL |

**Tentative Ruling:** No tentative ruling. Motion is continued to 10.06.26. Proofs of service for the Notice of Motion as well as the Declaration in Support of Motion to be Relieved do not indicate that Defendant Diebold Nixdorf, Inc. was served with the indicated documents. Counsel for Plaintiff directed to submit proofs of service of those documents no later than 9.28.26.

4.

| CASE #      | CASE NAME          | HEARING NAME                          |
|-------------|--------------------|---------------------------------------|
| CVPS2509979 | MAYS VS FCA US LLC | MOTION FOR SANCTIONS BY FCA US<br>LLC |

**Tentative Ruling:** CCP § 871.26 provides for expedited discovery procedures in lemon law actions. Specifically, CCP § 871.26(b) states: "Within **60 days** after the filing of the answer or other responsive pleading, all parties shall, without awaiting a discovery request, provide to all other parties an **initial disclosure and documents** pursuant to subdivision (f), (g), and (h)." (CCP § 871.26(b) [emphasis added].)

CCP § 871.26(f) requires the plaintiff to provide 7 categories of documents, including the sales or lease agreement, current registration, finance and account information, repair orders, documents supporting incidental damages, information concerning the vehicle's market value, and written presuit communications with the manufacturer. (CCP § 871.26(f).)

CCP § 871.26(g) requires the plaintiff to disclose 11 categories of information, including the mileage, drivers, possession, location, collision history, aftermarket modifications, repair presentations not reflected in repair orders, pre-suit communications, and any need for an interpreter. (CCP § 871.26(g).)

CCP § 871.26(j)(1) provides, in pertinent part: "Unless the party failing to comply with this section shows **good cause**, . . . a court **shall** impose . . . [a] one-thousand-five-hundred-dollar (\$1,500) sanction against the plaintiff's attorney [], paid within 15 business days for failure to comply with the document production requirements as prescribed in subdivision (b)." (CCP § 871.26(j)(1) [emphasis added].)

Defendant argues that monetary sanctions are mandatory because Plaintiff failed to serve its initial disclosure and documents within the statutory deadline and has not established good cause for its noncompliance.

While there is no published authority defining what constitutes “good cause” under section 871.26, the final Assembly Judiciary Committee Report on AB 1755, the enacting legislation for section 871.26, explains that the purpose of the discovery sanctions provision is to ensure “that attorneys faithfully adhere to these new discovery rules,” and “that the information most relevant to a lemon law case is disclosed early in the litigation process and without the need to argue costly discovery disputes before the court.” (Assem. Com. on Judiciary, Analysis of Assem. Bill No. 1755 (2023-2024 Reg. Sess.) as amended Aug. 30, 2024.)

Plaintiff timely served written initial disclosures within the 60-day statutory window on 1.09.26, but the undisputed evidence establishes that she produced no documents at that time. The service of written responses addressing each category did not necessarily satisfy the obligation to provide the documents listed in subdivision (f). Subdivision (f) also required Plaintiff to provide the “Sales or lease agreement” and a “Copy of current registration” by 1.09.26. (CCP § 871.26(b), (f)(1)-(2).) Unlike subdivision (f)(4), which permits a plaintiff to provide repair orders “or the location of where information relating to repair orders may be found,” subdivisions (f)(1) and (f)(2) do not contain an alternative location clause. Plaintiff did not produce either document by the deadline. The supplemental production still did not include the sales agreement or current registration. CCP § 871.26(f)(1) requires the *plaintiff* to provide the sales or lease agreement. CCP § 871.26(h)(5) separately requires the manufacturer to provide that agreement “if the manufacturer is in possession.” (CCP §§871.26(f)(1), (h)(5).) The overlapping subdivisions here however does not eliminate the other side’s obligation to produce.

Finally, Plaintiff has not shown good cause for the untimely production. The Declaration of attorney Lilly Pan does not identify what steps Plaintiff took before 1.09.26 or why Plaintiff could not produce timely. It is also silent as to what efforts Plaintiff made to obtain the sales agreement and current registration. Accordingly, the statute requires that monetary sanctions be imposed.

Defendant FCA’s Motion for Sanctions GRANTED.

Plaintiff’s Attorney directed to pay sanctions in the amount of \$1,500 within 15 business days of this order, pursuant to CCP § 871.26(j)(1).

OSC for 1.15.27 is vacated. Trial Setting Conference set for 3.15.27.

5.

| CASE #      | CASE NAME        | HEARING NAME                                                                                             |
|-------------|------------------|----------------------------------------------------------------------------------------------------------|
| CVPS2600012 | PEARCE VS ELLENZ | MOTION FOR TO COMPEL FURTHER RESPONSES TO REQUEST FOR PRODUCTION, SET TWO AS TO DEFENDANT TIMOTHY ELLENZ |

**Tentative Ruling:** CCP §2025.450(b)(2), provides that a motion to compel further productions of documents “shall be accompanied by a meet and confer declaration under Section 2016.040, ...” (CCP §2025.450(b)(2).) CCP §2016.040 (a) provides that “[a] meet and confer declaration in support of a motion shall state facts showing a reasonable

and good faith attempt, either in person, by telephone, or by videoconference, to informally resolve each issue presented by the motion..” (CCP §2016.040.) It is clear from the meet and confer declaration that the parties did not meet and confer in person, by phone or videoconference.

The hearing on the motion to compel further responses to Requests for Production is continued to 10.27.26. The parties are ordered to ***meet and confer via in person, phone or video conference*** for the purpose of determining whether an agreement can be reached that would resolve the requests at issue in this motion. After meeting and conferring, the parties shall 10 days before the continued hearing date set above do one of the following:

- (1) Plaintiff vacate the hearing on the motion;
- (2) Parties file with the court a joint declaration stating the means by which the parties met and conferred and what issues, if any, the parties were able to resolve and what issues remain for the court’s ruling.

Whether or not the parties engaged in a reasonable and good faith meet and confer process will be considered by the court in ruling on the request for sanctions.

The court will not accept further briefing.

Additionally, Plaintiff has failed to submit proofs of service of his discovery motions. No proof of service was filed with the court indicating that Defendants had been served with either the motions or the Reply. Plaintiff is directed to submit proofs of service moving forward or potentially have a hearing vacated or a brief disregarded by the court for failure to show notice was given to opposing counsel.

Parties are also informed that no further discovery motions shall be permitted without request for an Informal Discovery Conference. Based on the history of this case, the court is requiring that a party seeking to address discovery issues must first submit a request with the court for an IDC. Information about that procedure is located on this department’s website.

6.

| CASE #      | CASE NAME        | HEARING NAME                                                                                                             |
|-------------|------------------|--------------------------------------------------------------------------------------------------------------------------|
| CVPS2600012 | PEARCE VS ELLENZ | MOTION FOR TO COMPEL FURTHER RESPONSES TO REQUEST FOR PRODUCTION, SET TWO AS TO DEFENDANT CALIFORNIA WINDOW & DOOR, INC. |

**Tentative Ruling:** No tentative ruling. Hearing is continued.

7.

| CASE #      | CASE NAME        | HEARING NAME                                                                                             |
|-------------|------------------|----------------------------------------------------------------------------------------------------------|
| CVPS2600012 | PEARCE VS ELLENZ | MOTION FOR TO COMPEL FURTHER RESPONSES TO REQUEST FOR PRODUCTION, SET TWO AS TO DEFENDANT ANTHONY ELLENZ |

**Tentative Ruling:** No tentative ruling. Hearing is continued.

8.

| CASE #      | CASE NAME        | HEARING NAME                                                                  |
|-------------|------------------|-------------------------------------------------------------------------------|
| CVPS2600012 | PEARCE VS ELLENZ | MOTION FOR LEAVE TO AMEND 2ND AMENDED COMPLAINT OF KENT PEARCE BY KENT PEARCE |

**Tentative Ruling:** No tentative ruling. Hearing is continued to 10.06.26 to be heard in conjunction with the Motion for Preferential Trial Setting.

Plaintiff failed to submit a copy of the proposed amended complaint. The Motion filed on 8.03.26 indicates that the proposed Third Amended Complaint was attached as Exhibit 3, but it is omitted from that Motion.

Plaintiff directed to file the proposed Third Amended Complaint with the court by 9.28.26. No further briefing shall be permitted.

9.

| CASE #      | CASE NAME                   | HEARING NAME                                                                                                                      |
|-------------|-----------------------------|-----------------------------------------------------------------------------------------------------------------------------------|
| CVPS2508295 | LITTLE VS ROCKET CLOSE, LLC | DEMURRER ON 3RD AMENDED COMPLAINT FOR BREACH OF CONTRACT/WARRANTY (OVER \$35,000) OF AUDREY LITTLE BY OAKTREE FUNDING CORPORATION |

**Tentative Ruling:** A demurrer tests the legal sufficiency of the pleading and admits all material facts properly pleaded, but not contentions, deductions, or conclusions of fact or law. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The complaint is given a reasonable interpretation and read as a whole, with its parts in context. (*Id.*) A demurrer lies where the pleading fails to state facts sufficient to constitute a cause of action or is uncertain (CCP § 430.10.) Leave to amend should be granted if there is a reasonable possibility the defect can be cured, and the burden of showing that possibility rests with the plaintiff. (*Aubry v. Tri-City Hosp. Dist.* (1992) 2 Cal.4th 962, 967; *Blank*, supra, 39 Cal.3d at 318.)

Defendants Rocket Close, LLC and Rocket Companies, Inc demurrer to the 1<sup>st</sup>, 3<sup>rd</sup>, 4<sup>th</sup>, 6<sup>th</sup>-9<sup>th</sup> and 11<sup>th</sup> Causes of Action.

**Rocket Close Only:** 1st, 3rd, 4th, and 6th Causes of Action for Breach of Contract, Escrow Instructions, Fiduciary Duty and Professional Negligence:

**Renewed Demurrer to the 1st, 3rd, and 4th Causes of Action:**

Rocket Close demurs anew to the First (breach of contract), Third (breach of escrow instructions), and Fourth (breach of fiduciary duty) Causes of Action of the TAC,

which correspond to claims the Court overruled on May 28, 2026 on the SAC. Relying on *Berg & Berg Enterprises, LLC v. Boyle* (2009) 178 Cal.App.4th 1020, 1036 and *Pacific States Enterprises, Inc. v. City of Coachella* (1993) 13 Cal.App.4th 1414, 1420 fn.3, Rocket Close argues that a renewed demurrer is permissible where an amended pleading materially changes a previously challenged cause of action. On that footing, it argues that the TAC's paragraphs 25 through 45 add new post-SAC allegations regarding its alleged pre-closing knowledge and a new punitive and/or managing agent ratification section incorporated into each cause, and that those additions revive the ability to demur.

Plaintiff invokes *Bennett v. Suncloud* (1997) 56 Cal.App.4th 91 as the more direct later authority. *Bennett* held that once a demurrer to a cause is overruled, a later judge is "foreclosed from rendering a new determination on the viability of th[at] claim[] unless some new facts or circumstances [are] brought to his attention." (*Id.* at 96–97.) Plaintiff observes that *Berg* itself quotes and confines *Bennett* by reference to the situation before it, where the prior demurrer had been sustained rather than overruled. Plaintiff also offers a SAC/TAC comparison chart to show that the TAC introduces no new facts or circumstances bearing on the grounds the Court previously overruled.

Even under *Berg*'s more permissive framing, redetermination requires a material change to the previously overruled ground. No such change appears here. Plaintiff's chart establishes that the TAC does not alter the analytical basis on which the Court previously overruled the demurrer on privity and third-party beneficiary grounds. Rocket Close does not dispute the narrowing itself. It argues only that any material change subjects the cause to renewed challenge. The TAC's supplemental allegations (the May 15 title report and the "No Change" escrow-log entry) are additive evidentiary facts that reinforce, rather than displace, the third-party beneficiary, escrow-principal, and fiduciary-duty theories on which the Court previously overruled the demurrer. (TAC ¶¶ 25–26.) The elements, defendants, instruments, pleaded duties, and alleged breach for the First, Third, and Fourth Causes of Action are unchanged from the SAC on the challenged grounds. (TAC ¶¶ 46–50, 57–59, 60–63.)

#### 6th Cause of Action for Professional Negligence/Negligence in the Alternative:

Rocket Close argues that (1) it owed Plaintiff no independent duty of care as escrow holder, and (2) the claim is barred by the economic loss rule. Plaintiff pleads negligence in the alternative, on the theory that Rocket Close mishandled the May 15 title report and the "No Change" escrow-log entry, and thereby caused Plaintiff economic harm arising from a noncompliant closing.

**Duty.** Rocket Close disputes that it owed Plaintiff any independent tort duty as escrow holder. The Court need not reach that question because the claim independently fails under the economic loss rule.

**Economic Loss Rule.** In *Sheen v. Wells Fargo Bank* (2022) 12 Cal.5th 905, the California Supreme Court held that tort claims between parties in a contractual relationship "are barred when they arise from—or are not independent of—the parties' underlying contracts." (*Id.* at 923.) The negligence cause here is not independent of the contract, escrow, and fiduciary duty causes. It rests on the same transactional predicate—the May 15 title report, the "No Change" escrow-log entry, and the July 14–15 disbursement and recording—that supplies the First, Third, and Fourth Causes of Action. Every category of harm Plaintiff attributes to Rocket Close (payments, fees, credit damage, refinance lockout, increased debt) is purely economic. There is no allegation of personal injury or of harm to property independent of the transaction.

*Robinson Helicopter Co. v. Dana Corp.* (2004) 34 Cal.4th 979 does not save the claim. That exception preserves an independent tort where the defendant's conduct exposes the plaintiff to injury or liability distinct from disappointed contractual expectancy. (*Id.* at 984.) Here, the pleaded harm is the transactional expectancy itself. The escrow did not close as instructed, and Plaintiff seeks the resulting economic consequences, which are financial consequences of the same transaction and not the kind of independent harm the *Robinson Helicopter* exception requires. The First, Third, and Fourth Causes of Action already provide the contract-based avenues for that recovery. The Sixth Cause of Action is duplicative on the contract side and barred by *Sheen* on the tort side.

**Leave to Amend.** This Court sustained the demurrer to the SAC's professional negligence/negligence cause of action with leave to amend, thereby affording Plaintiff an opportunity to cure the defect. On the TAC, Plaintiff has pleaded the same economic harms arising from the same escrow conduct, and has not identified any non-economic injury that would remove the claim from *Sheen*'s bar. The burden of showing a reasonable possibility of amendment rests with Plaintiff, and Plaintiff has not carried it. (*Blank, supra*, 39 Cal.3d at 318.) Nor could she, because the *Sheen* bar is a legal defect that no proffered fact would cure. (*Id.*)

7<sup>th</sup> Cause of Action for Fraudulent Concealment/Deceit by Suppression as to Rocket Close and Rocket Companies:

Rocket Close argues that no duty to disclose ran from it to Plaintiff, that Plaintiff cannot claim ignorance of the Resnick deed of trust she signed before a notary, that fraud against a corporate defendant must be pleaded with particularity, and that all three fraud causes are independently barred by the economic loss rule.

Plaintiff responds that Rocket Close acted as escrow/settlement agent, possessed the May 15 title report identifying the Resnick deed of trust, logged the file "No Change," and disbursed and recorded on July 14–15 without disclosing that the escrow could not be performed as written. Plaintiff invokes disclosure duties based on fiduciary role, exclusive knowledge, active concealment, and partial representations, and relies on *Rattagan v. Uber Techs., Inc.* (2024) 17 Cal.5th 1, as the controlling economic loss rule test for fraudulent concealment.

**Economic Loss Rule.** The Court need not resolve the duty question because the Seventh, Eighth, and Ninth Causes of Action are independently barred by the economic loss rule. As discussed in connection with the Sixth Cause of Action, tort claims between parties in a contractual relationship "are barred when they arise from—or are not independent of—the parties' underlying contracts." (*Sheen, supra*, 12 Cal.5th at 923.) All three fraud causes rest on the identical transactional predicate as the First, Third, and Fourth Causes of Action. Each turns on possession of the May 15 title report, the "No Change" escrow-log entry, and the July 14–15 disbursement and recording. The damages pleaded are also financial consequences of the same transaction, not the kind of independent injury the *Robinson Helicopter* exception requires. Plaintiff alleges a transaction she would not have entered, a recorded encumbrance and payment obligations, lost refinance and sale ability, forced sale and credit exposure, and "economic, credit, and related damages according to proof." (TAC ¶¶ 87, 92.) *Sheen* therefore bars the Seventh, Eighth, and Ninth Causes of Action as pleaded.

*Rattagan* does not change the result on this pleading. *Rattagan* permits a fraudulent concealment claim to proceed only where the elements can be established independently of the parties' contractual rights and obligations and the tortious conduct

exposes the plaintiff to a risk of harm beyond the parties' reasonable contemplation when they entered the contract. (*Rattagan, supra*, 17 Cal.5th at 13.) The alleged concealment here is not independent of the contract and escrow framework. It is the very course of performance under that framework, recharacterized as fraudulent suppression. That course of performance consists of title handling, the "No Change" escrow-log entry, and the closing, disbursement, recording sequence. The alleged harm is the same disappointed transactional expectancy the contract and escrow causes address. *Rattagan's* exception therefore does not save the Seventh, Eighth, and Ninth Causes of Action from *Sheen's* bar.

8th Cause of Action for Fraudulent Inducement (Rocket Close only):

The Eighth Cause of Action fails for the additional reason that the representations Plaintiff identifies are the second-lien recordation and final QC requirements in Oaktree's Specific Closing Instructions. Those are lender-to-settlement-agent underwriting conditions and cannot simultaneously be pleaded as the basis for the First and Third Causes of Action and as representations made to induce Plaintiff's reliance on Rocket Close. Similar to the SAC, the TAC still alleges no pre-closing interactions between Plaintiff and Rocket Close and no basis on which Plaintiff changed her position in reliance on anything Rocket Close said or did. In any event, the economic loss analysis above independently disposes of the claim.

9th Cause of Action for Post-Notice Concealment/Ratification as to Rocket close and Rocket Companies:

The TAC pleads no pre-closing role for Rocket Companies and limits its exposure to "post-notice ratification" based on the Chief Executive Officer's receipt of written notice and designation of an executive to review the matter. Fraud against a corporate defendant requires facts showing what was said or done, by whom, and with what authority. (*Lazar v. Sup. Ct.* (1996) 12 Cal.4th 631, 645.) Passive routing of a customer escalation, without an identified affirmative misrepresentation or concealment by an identified agent, does not state a fraud claim. Plaintiff's alternative agency and ratification theories under Civ. Code §§ 2307 and 2338 do not cure that defect. (See Pl.'s Opp. 7:21–24.) Those theories can attach a corporate parent to an agent's tortious act, but they cannot manufacture an affirmative act of fraud where none is pleaded. And because the underlying fraud claims against Rocket Close fail for the reasons stated above, the derivative theories against Rocket Companies fail with them.

**Leave to Amend.** This Court sustained the demurrer to the SAC's single fraudulent inducement by concealment cause of action with leave to amend, affording Plaintiff an opportunity to cure the defects. On the TAC, Plaintiff has multiplied that single cause into three separately captioned fraud causes resting on the same transactional predicate. Plaintiff still does not allege pre-closing interactions with Rocket Close on which she relied, and now runs into the additional bar of the economic loss rule. The burden of showing a reasonable possibility of amendment rests with Plaintiff, and Plaintiff has not carried it. (*Blank, supra*, 39 Cal.3d at 318.) As to the Seventh and Eighth Causes of Action, the defect is legal because *Sheen* bars the tort recharacterization of contract performance, and no proffered fact would remove the claims from that bar. As to the Ninth Cause of Action, "post-notice concealment/ratification" is not a recognized independent tort, and no amendment can convert an unrecognized cause into a viable one. In either case, there is no reasonable possibility of amendment. (*Id.*)

11<sup>th</sup> Cause of Action for UCL Violation as to Rocket Close and Rocket Companies:

Rocket Defendants argue Plaintiff lacks standing under Bus. & Prof. Code § 17204, that the unlawful and unfair prongs fail because the underlying predicate claims fail, and that a single private refinance transaction does not establish a fraudulent business practice likely to deceive the public.

Plaintiff responds that the TAC pleads economic injury sufficient under *Kwikset Corp. v. Superior Court* (2011) 51 Cal.4th 310, 322–323, that alleged failure to comply with escrow instructions supports the unfair prong at the pleading stage, and that whether the conduct reflects a recurring practice is a proof issue.

**Standing.** UCL standing requires economic injury caused by the challenged conduct. (Bus. & Prof. Code § 17204; *Kwikset, supra*, 51 Cal.4th at 322.) The escrow, premium, and settlement charges Plaintiff identifies are charges she would have incurred in any properly closed second-lien transaction, and are therefore not the result of Rocket Defendants' alleged wrongful conduct. The TAC's added categories, such as credit damage, refinance lockout, increased debt, service interruptions, caregiver loss, and forced-sale/equity pressure, are pleaded as consequences of post-notice billing, collection, and enforcement conduct attributed to Oaktree and its servicer, not to Rocket Close or Rocket Companies. (TAC ¶¶ 34–35, 94–97, 105, 111–15.) Plaintiff has not traced a qualifying economic injury to conduct attributable to Rocket Defendants. Plaintiff therefore lacks UCL standing as to Rocket Defendants.

**Unlawful and Unfair Prongs.** Both prongs are derivative of Plaintiff's other claims against Rocket Defendants. Because the Sixth and Eighth Causes of Action against Rocket Close, and the Seventh and Ninth Causes of Action against Rocket Defendants are sustained without leave for the reasons stated above, no surviving predicate remains to support either the unlawful or the unfair prong.

**Fraudulent Prong.** The fraudulent prong reaches conduct likely to deceive the public. (*Committee on Children's Television, Inc. v. Gen. Foods Corp.* (1983) 35 Cal.3d 197, 211.) The TAC alleges an individualized dispute about a single private refinance closing and later communications concerning that closing. It identifies no public representation, advertising practice, or recurring conduct directed at consumers on which a "likely to deceive the public" finding could rest. (*Id.*)

**Rocket Companies.** The TAC concedes Rocket Companies had no pre-closing role and pleads its exposure only through enterprise level notice, escalation, routing, and refusal to coordinate cure. (TAC ¶¶ 8, 101.) For the reasons stated on the fraud causes, that is passive routing, not conduct within the UCL's reach, and the derivative UCL theory against Rocket Companies fails with the underlying Rocket Close causes.

**Leave to Amend.** The TAC follows two prior rounds of amendment. Plaintiff has repleaded the same non-qualifying escrow, premium, and settlement charges, and the newly added loss categories are traced to Oaktree's post-notice conduct rather than to Rocket Defendants. The burden of showing a reasonable possibility of amendment rests with Plaintiff, and Plaintiff has not carried it. (*Blank, supra*, 39 Cal.3d at 318.) Nor could she, because the standing and derivative failures, and the absence of public directed conduct are legal defects that no proffered fact would cure. (*Id.*)

Defendant Rocket Close, LLC's Demurrer as to the 1<sup>st</sup>, 3<sup>rd</sup> and 4<sup>th</sup> Causes of Action OVERRULED.

Defendant Rocket Close, LLC's Demurrer as to the 6<sup>th</sup> and 8<sup>th</sup> Causes of Action

SUSTAINED WITHOUT leave to amend.

Defendants Rocket Close, LLC and Rocket Companies, Inc's Demurrer as to the 7<sup>th</sup>, 9<sup>th</sup> and 11<sup>th</sup> Causes of Action SUSTAINED WITHOUT leave to amend.

Defendants to file an answer within 15 days.

10.

| CASE #      | CASE NAME                   | HEARING NAME                                                                                                                           |
|-------------|-----------------------------|----------------------------------------------------------------------------------------------------------------------------------------|
| CVPS2508295 | LITTLE VS ROCKET CLOSE, LLC | MOTION TO STRIKE 3RD AMENDED COMPLAINT FOR BREACH OF CONTRACT/WARRANTY (OVER \$35,000) OF AUDREY LITTLE BY OAKTREE FUNDING CORPORATION |

**Tentative Ruling:** A party may move to strike matters from an opposing party's pleading if it is irrelevant, false or improper. (See CCP §§ 435, 436(a).) A motion to strike may also target all or any part of pleadings not filed or drawn in conformity with the applicable laws, rules or orders. (CCP § 436(b).)

Rocket Defendants move to strike (1) the Fifth, Eighth, Ninth, Fourteenth, Fifteenth (as to Rocket Close), Sixteenth, and Seventeenth Causes of Action on the ground that they exceed the scope of the May 28, 2026 leave to amend order, and (2) the punitive damages allegations at TAC paragraphs 30 through 45 as directed at Rocket Companies under Civ. Code § 3294(b).

Plaintiff responds that the Court's July 2, 2026 order selected V19 as the operative pleading with awareness of a narrower V20, ordered Defendants to respond, and struck V20; that the August 24, 2026 clarification confirmed V19's operative status "for all purposes"; and that each challenged cause arises from the same loan, escrow, title, funding, recordation, and post-notice course. Plaintiff further contends the punitive allegations rest on specific enterprise level ratification conduct, including notice to the Office of the CEO of Rocket Companies, a personal response by Varun Krishna, alleged cross-entity directing authority, and designation of Heather Moldovan of Rocket Close Operations to review the matter.

**Scope of leave.** The July 2, 2026 order selected V19 as the operative TAC after Plaintiff disclosed the narrower V20 on the record. The August 24, 2026 minute order confirmed V19 as operative while permitting individual causes to be tested by demurrer or motion. On this record, V19's operative status forecloses striking causes with prejudice on the basis of the May 28 leave order alone. The Court has now tested each challenged cause on demurrer. The Eighth and Ninth Causes of Action as to Rocket Defendants are sustained without leave to amend, rendering the scope of leave objection to those causes moot. As to the Fifth, Fourteenth, Fifteenth, Sixteenth, and Seventeenth Causes, each arises from the same transactional predicate (the May 15 title report, the "No Change" escrow-log entry, the July 14–15 disbursement and recording, and the post-notice course) already litigated by Rocket Defendants. A strike "with prejudice" on scope of leave grounds is not warranted where V19 is the operative pleading and the challenged theories arise from the same operative facts.

**Punitive damages.** Civ. Code § 3294(b) requires an officer, director, or managing agent to have personally committed, authorized, or ratified the wrongful conduct with advance knowledge of its wrongful character. Rocket Defendants argue no punitive

eligible predicate remains against Rocket Companies. That argument fails on this pleading. The Fourteenth Cause of Action for dependent adult financial abuse and the Sixteenth Cause of Action for aiding and abetting survive the motion to strike on scope of leave grounds and are pleaded against Rocket Defendants, including Rocket Companies. Both are punitive eligible. The Fourteenth Cause of Action is punitive eligible under Welf. & Inst. Code § 15657(a), and the Sixteenth Cause of Action is punitive eligible derivatively to the extent it attaches to underlying torts that support punitive recovery.

Taken as true on a motion to strike, Plaintiff’s allegations of enterprise level ratification conduct, including written notice to the Office of the Chief Executive Officer of Rocket Companies, a personal response by Varun Krishna, and designation of Heather Moldovan of Rocket Close Operations to review the matter (TAC ¶¶ 31–34), place the section 3294(b) requirements at issue. Whether Plaintiff can ultimately prove by clear and convincing evidence that Rocket Companies’ officers, directors, or managing agents authorized or ratified the challenged conduct with advance knowledge of its wrongful character is a merits question the Court cannot resolve on a motion to strike.

Defendants Rocket Close LLC and Rocket Companies, Inc’s Motion to Strike DENIED.

11.

| CASE #      | CASE NAME                   | HEARING NAME                                                                                                                                                                                                            |
|-------------|-----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| CVPS2508295 | LITTLE VS ROCKET CLOSE, LLC | DEMURRER ON 3RD AMENDED COMPLAINT FOR BREACH OF CONTRACT/WARRANTY (OVER \$35,000) OF AUDREY LITTLE BY DEFENDANTS ROCKET CLOSE, LLC, ROCKET CLOSE, LLC (F/K/A AMROCK TITLE CALIFORNIA, INC.), AND ROCKET COMPANIES, INC. |

**Tentative Ruling:** Defendant Oaktree Demurrers to the 2<sup>nd</sup>, 5<sup>th</sup>-16<sup>th</sup> and 18<sup>th</sup> Causes of Action:

2nd Cause of Action for Breach of Contract:

The Second Cause of Action alleges that Oaktree breached the Specific Closing Instructions by disbursing on July 14, 2025 and recording on July 15, 2025 without completing its final QC review and without ensuring the loan recorded in second-lien position, both of which the instructions required as pre-funding conditions. (TAC ¶¶ 14, 51–55, 76.)

Oaktree argues (1) no contractual duty required it to verify its own lien position because underwriting is performed for the lender’s benefit under *Nymark v. Heart Federal Savings & Loan Association* (1991) 231 Cal.App.3d 1089, 1096, (2) the “final QC” language in the Specific Closing Instructions concerns Plaintiff’s qualifications rather than title verification, which the instructions separately address, and (3) neither the note nor the deed of trust conditions Plaintiff’s repayment on the actual lien position, so the claim improperly conflates two distinct contracts.

Plaintiff responds that the Specific Closing Instructions expressly state “OAKTREE TO PERFORM FINAL QC REVIEW PRIOR TO FUNDING” and “THIS LOAN MUST

RECORD IN 2ND LIEN POSITION ON OR PRIOR TO THE DISBURSEMENT DATE,” that Oaktree disbursed on July 14 and recorded on July 15 outside the required position, and that Plaintiff pleads performance or excuse, breach, and damages. (TAC ¶¶ 14, 51–55, 76.) Plaintiff further alleges that Oaktree possessed pre-funding information channels identifying the Resnick deed of trust, including Oaktree’s own DRIVE/DataVerify/PropertyVerify materials dated May 12 and July 7, both preceding the July 14 disbursement and July 15 recording. (*Id.* at ¶ 13.) Plaintiff separately alleges that Rocket Close’s May 15 title report was later transmitted to Oaktree. (*Id.* at ¶¶ 13, 21, 76, 84.) Plaintiff argues Oaktree’s narrower reading of “final QC” and its assignment of second position compliance to Rocket Close present interpretation questions not resolvable on demurrer.

**Written Funding Conditions.** The Specific Closing Instructions contain two written provisions Oaktree itself imposed and Plaintiff invokes as breached. Whether those provisions extend to lien position verification or run only to Plaintiff’s qualification, and whether they impose contractual obligations on Oaktree at all, are contract interpretation questions. On demurrer, the Court reads the written text in the light most favorable to Plaintiff. Oaktree’s narrower reading, however plausible on the merits, does not defeat the claim where the text on which Plaintiff relies is present in the exhibits.

**Nymark and the Conventional Lender Rule.** *Nymark* speaks to tort duty, not contract obligation. A lender may adopt no tort duty and still create contractual obligations by the terms it drafts. Whether Oaktree’s own written pre-funding conditions imposed the obligations Plaintiff pleads is a contract question the Court cannot resolve on demurrer.

**Exhibits and Pleaded Facts.** Oaktree contends that because Plaintiff attached the Specific Closing Instructions to her TAC, the exhibit’s text controls over any contrary characterization in the pleading. But that rule applies only where the exhibit text is unambiguous. (*Bldg. Permit Consultants, Inc. v. Mazur* (2004) 122 Cal.App.4th 1400, 1409.) Here, the parties dispute both the scope of “final QC” and the allocation of second-position compliance, precisely the interpretation questions the Court cannot resolve on demurrer. Plaintiff’s pre-funding knowledge allegations frame breach and knowledge as merits questions, not defects on the face of the pleading. (TAC ¶¶ 13, 21, 76, 84.)

#### 5th Cause of Action for Declaratory Relief:

Oaktree argues the Fifth Cause of Action is wholly derivative of Plaintiff’s breach of contract theory and therefore properly disposed of on demurrer, and that the “final QC” requirement is not a condition precedent to enforcement of the loan under Civ. Code § 1436 because neither the note nor the deed of trust conditions Plaintiff’s repayment on lien position.

Plaintiff responds that CCP § 1060 permits declaratory relief where an actual present controversy exists over the construction of a written instrument, that declaratory relief may coexist with damages claims, and that the controversy here is whether Oaktree may enforce the loan as though its own written pre-funding conditions were satisfied.

Declaratory relief is properly disposed of on demurrer where the claim is wholly derivative of another cause of action and adds nothing to the case. (*Ball v. FleetBoston Fin. Corp.* (2008) 164 Cal.App.4th 794, 800.) Plaintiff’s Fifth Cause of Action rests on the same “failed funding condition” theory that anchors the Second Cause of Action for breach of contract. Whether Oaktree performed its written pre-funding conditions and what consequences follow from any breach will be resolved through the Second Cause of Action. A separate declaratory claim on the same conduct and the same written

instrument adds no relief the contract claim cannot deliver.

**Leave to Amend.** The defect is legal. A declaratory claim that duplicates a contract claim on the same operative facts cannot be cured by re-pleading. There is no reasonable possibility of amendment. (*Blank, supra*, 39 Cal.3d at 318.)

6th Cause of Action for Professional Negligence/Negligence:

Oaktree argues (1) as a conventional money lender it owed no duty of care to Plaintiff under *Nymark*, (2) it was appropriate for Oaktree to rely on Plaintiff's application and on Rocket Close as its escrow and title fiduciary, and (3) Plaintiff's own alleged concealment of the Resnick loan is what set these events in motion and proximately caused any harm.

Plaintiff responds that the Sixth Cause of Action is not premised on a generalized lender duty but on transaction specific conduct in which Oaktree underwrote the loan, imposed final QC before funding, authored the second position condition, retained funding authority, obtained pre-funding verification records, and allegedly funded without fulfillment of those conditions. Plaintiff invokes *Biakanja v. Irving* (1958) 49 Cal.2d 647, 650, and argues the transaction was intended to affect Plaintiff, the risk of funding a transaction that could not close as required was foreseeable, and Oaktree controlled its own funding gate.

**Duty.** *Nymark* holds that a financial institution owes no duty of care to a borrower when its involvement does not exceed the scope of a conventional money lender. *Biakanja* recognizes that a duty may arise where the transaction was intended to affect the plaintiff, harm was foreseeable, and the defendant controlled critical functions. The TAC alleges Oaktree drafted and imposed transaction specific process controls including final QC before funding and mandatory second-lien recordation on or before disbursement, retained funding authority over whether those conditions were met, and obtained pre-funding verification materials identifying the Resnick deed of trust. (TAC ¶¶ 13, 14, 76.) Taken as true on demurrer, those allegations support a transaction specific undertaking beyond conventional money lending. Whether Oaktree's underwriting activities in fact exceed the conventional lender role is a merits question the Court cannot resolve on demurrer where Plaintiff has alleged specific mandatory conditions Oaktree imposed and controlled.

**Causation.** Oaktree's argument that Plaintiff's alleged concealment of the Resnick loan proximately caused her harm presents a disputed factual defense not resolvable on demurrer. On a demurrer, the Court accepts the pleaded allegations as true and does not weigh competing factual accounts of who knew what and when. Whether Plaintiff's application misled Oaktree, whether Oaktree's own pre-funding materials revealed the Resnick deed of trust regardless, and whether reliance on Rocket Close was reasonable are all merits questions.

7th Cause of Action for Fraudulent Concealment:

Oaktree argues that (1) as a conventional money lender it owed no duty of care or disclosure under *Nymark*, (2) fraud against a corporate defendant must be pleaded with heightened particularity under *Lazar*, and (3) it cannot have "concealed" terms contained in the escrow instructions Plaintiff herself signed, citing *Marin Storage & Trucking, Inc. v. Benco Contracting & Engineering, Inc.* (2001) 89 Cal.App.4th 1042, 1049 ("*Marin Storage*").

Plaintiff responds that Oaktree acted beyond a conventional lender role by drafting and imposing the final QC and second-lien conditions, possessed the pre-funding verification materials identifying the Resnick deed of trust before funding, and had superior or exclusive knowledge of whether its own mandatory conditions had been satisfied. (TAC ¶¶ 13, 76, 84.) Plaintiff invokes *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336–37, for disclosure duties based on partial representations, superior or exclusive knowledge, and active concealment, and *Committee on Children's Television*, for relaxed particularity where operative facts lie within the defendant's knowledge.

**Economic Loss Rule.** Unlike the fraud claims against Rocket Close, which recharacterize escrow performance itself as fraudulent suppression and therefore fall within *Sheen*, Plaintiff's concealment theory against Oaktree satisfies *Rattagan*, which permits a concealment claim where the tortious conduct exposes the plaintiff to a risk of harm beyond the parties' reasonable contemplation at contracting. (*Rattagan*, supra, 17 Cal.5th at 43–44.) Plaintiff alleges that the materials in Oaktree's file identified the recorded Resnick deed of trust, contradicting Oaktree's own mandatory second-lien condition, and Oaktree funded without disclosing that its internal materials showed its written condition could not be met. (TAC ¶¶ 13, 19–21, 76.) A borrower executing closing instructions does not reasonably contemplate that the lender is funding against its own internal verification data. Taken as true on demurrer, that is the kind of extra-contractual risk *Rattagan* preserves, not the transactional expectancy *Sheen* bars.

**Duty to Disclose.** *Nymark*'s conventional lender rule turns on whether the lender's involvement exceeded that of a mere money lender. The TAC alleges that Oaktree drafted and imposed transaction specific process controls—final QC before funding and mandatory second-lien recordation on or before disbursement—and retained funding authority over whether those conditions were met. (TAC ¶¶ 14, 76.) It further alleges that Oaktree possessed the pre-funding verification materials identifying the Resnick deed of trust, and that Oaktree's own September 10 Notice of Claim acknowledged the lien-position failure. (*Id.* at ¶¶ 13, 19–21.) Taken as true, those allegations support a duty to disclose grounded on superior or exclusive knowledge and partial representations under *LiMandri*. Whether Oaktree's conduct in fact exceeded conventional lending or whether its internal materials showed what Plaintiff alleges are merits questions, not questions this Court can resolve on demurrer.

*Marin Storage* charges a signatory with knowledge of the document's contents. (*Marin Storage*, supra, 89 Cal.App.4th at 1049.) But the concealed facts Plaintiff identifies are not the text of the escrow instructions. They are Oaktree's alleged internal pre-funding knowledge that its own second-lien condition had not been and could not be satisfied, drawn from verification materials Plaintiff did not possess. Plaintiff's general awareness of an underlying family debt is not the same as knowledge that the recorded Resnick deed of trust appeared in Oaktree's pre-funding verification materials, or that Oaktree would fund without resolving the second-lien condition it had imposed. Oaktree's related argument that Plaintiff concealed the Resnick loan on her own application likewise raises a factual defense that cannot be resolved on demurrer.

**Particularity.** The TAC identifies the operative documents (the pre-funding verification materials, the Specific Closing Instructions, and the September 10 Notice of Claim), the transaction, the funding sequence, and known corporate officers. Oaktree argues that Plaintiff's inability to name the internal reviewers or the exact communication chain confirms a *Lazar* failure. That overstates the pleading standard. *Committee on Children's Television* permits less particularity where the operative facts lie uniquely

within the defendant's knowledge, and the identity of Oaktree's internal reviewers and the chain by which its own verification materials were routed is precisely that kind of information. The TAC gives Oaktree fair notice of the theory and the operative transactional facts, which is what the pleading rule requires.

#### 8th Cause of Action for Fraudulent Inducement:

Oaktree argues the Eighth Cause of Action fails for the same reasons as the Seventh Cause of Action. It contends there is no duty under *Nymark*, no heightened particularity under *Lazar*, and no viable misrepresentation or concealment of terms contained in the escrow instructions Plaintiff signed under *Marin Storage*.

Plaintiff alleges Oaktree made written second position and final QC representations in the Specific Closing Instructions, that those representations were false or made with reckless disregard when Oaktree possessed pre-funding verification materials showing the lien stack defect, that Oaktree intended to induce Plaintiff to execute and perform the transaction, and that Plaintiff relied to her detriment. (TAC ¶ 91.)

**Economic Loss Rule.** The economic loss analysis stated for the Seventh Cause of Action applies with equal force. Plaintiff's inducement theory rests on Oaktree's alleged pre-funding knowledge, drawn from its May 12 and July 7 DRIVE/DataVerify/PropertyVerify materials, that its written second-lien and final QC representations could not be honored at the time they were made. (TAC ¶¶ 13, 84, 91.) That pleaded internal knowledge asymmetry places the alleged inducement in the *Rattagan*-preserved category of risk beyond the parties' reasonable contemplation at contracting, rather than the disappointed transactional expectancy *Sheen* bars.

**Duty to Disclose.** The duty analysis stated in connection with the Seventh Cause of Action applies with equal force. The TAC alleges Oaktree drafted and imposed mandatory final QC and second-lien conditions and retained funding authority over them (TAC ¶¶ 14, 76), which if true takes Oaktree beyond a conventional lender posture. *Marin Storage* does not defeat the claim because Plaintiff's theory is not that the escrow instructions concealed their own text. It is that Oaktree's pre-funding verification materials showed the mandatory condition could not be met, and that Oaktree funded anyway without disclosing that fact. Whether the closing instructions functioned only as internal underwriting conditions or as representations on which Plaintiff was entitled to rely turns on the nature and purpose of the mandatory conditions Oaktree imposed. That is a merits inquiry, not a demurrer question.

**Particularity.** The TAC identifies the specific written representations (the second position and final QC provisions in the Specific Closing Instructions), the transaction, the funding sequence, and Oaktree's alleged pre-funding possession of the verification materials contradicting those representations. For the reasons stated on the Seventh Cause of Action, the identity of Oaktree's internal reviewers falls within its exclusive possession, and *Committee on Children's Television* permits less particularity in that circumstance.

#### 9th Cause of Action for Post-Notice Concealment/Ratification:

Oaktree argues the Ninth Cause of Action is not a recognized cause of action in California and is fatally uncertain under CCP § 430.10(f). Plaintiff responds that the cause pleads a dated post-notice course rather than a label, resting on Oaktree's September 10 Notice of Claim, the September 12 title-report transmission, the first payment collected after that notice, the October 24 Rocket Title denial addressed to Oaktree, nondisclosure

of the defect-and-claim posture to Plaintiff, and continued billing, collection, adverse-credit pressure, and refusal of pause and cure requests thereafter. Plaintiff invokes *Rakestraw v. Rodrigues* (1972) 8 Cal.3d 67, 73–75, for ratification, and argues in the alternative that if the caption is not a standalone tort label, the allegations remain relevant to concealment, unfair competition, punitive ratification, implied covenant conduct, and damages, and support conforming amendment.

As Oaktree correctly argues, “post-notice concealment/ratification” is not a recognized independent tort. Plaintiff herself argues in the alternative that if the caption is not a standalone tort label, the allegations “remain relevant” to concealment, UCL, punitive ratification, implied covenant conduct, and damages. (Pl.’s Opp. 7:14–15.) That fallback framing confirms the caption does not stand on its own as an independent cause of action. Because no amendment can convert an unrecognized tort into a viable cause of action, leave to amend is denied. The Court need not reach Oaktree’s separate uncertainty argument because the threshold defect disposes of the demurrer.

#### 10th Cause of Action for Breach of Implied Covenant of Good Faith and Fair Dealing:

Oaktree argues the Tenth Cause of Action is superfluous because it restates the breach of contract theory pleaded in the Second Cause of Action and seeks the same relief, and that the implied covenant polices the exercise of discretion, not fixed obligations, so Plaintiff’s fixed repayment obligation under the note cannot support the claim. Plaintiff responds that the Tenth Cause of Action addresses discretionary post-notice conduct distinct from the funding breach, including whether to pause, cure, coordinate, instruct the servicer, continue withdrawals, impose default treatment, and continue credit pressure after actual notice.

The implied covenant polices the exercise of discretion vested in a contracting party. (*Carma Developers, Inc. v. Marathon Development Cal., Inc.* (1992) 2 Cal.4th 342, 372.) The TAC pleads discretionary post-notice conduct that is analytically distinct from the funding breach pleaded in the Second Cause of Action. Whether to pause billing, coordinate cure, adjust default treatment, and manage credit and collection posture after Oaktree’s September 10 Notice of Claim are discretionary functions the lender and servicer exercise, not fixed terms of the note. (TAC ¶¶ 19–21, 98–99.) Oaktree’s characterization of Plaintiff’s repayment obligation as “fixed” addresses the borrower’s side of the note, not Oaktree’s own discretionary enforcement, servicing, and collection conduct, which is what the implied covenant polices.

Oaktree’s superfluity argument also does not carry on this pleading. The Second Cause of Action addresses Oaktree’s alleged funding condition breach at closing. The Tenth Cause of Action addresses discretionary conduct after Oaktree’s own notice that the funding conditions were not satisfied. Those are different operative facts and different windows of conduct, even when the underlying transaction is the same. On demurrer, that is enough to keep them separately pleaded.

#### Eleventh Cause of Action for UCL Violations:

Oaktree argues the Eleventh Cause of Action is wholly derivative of Plaintiff’s other causes and fails with them, and that enforcing a valid loan is neither unlawful, unfair, nor fraudulent under Bus. & Prof. Code § 17200. Plaintiff responds that the TAC pleads lost money or property sufficient for standing under section 17204 and that the unlawful, unfair, and fraudulent prongs rest on Oaktree funding and later enforcing a transaction as though its mandatory conditions had been satisfied.

**Standing and Derivative Failure.** Oaktree's reply concedes that standing is not the defect it presses. The derivative failure argument does not carry on this pleading because the Seventh and Eighth Causes of Action against Oaktree survive demurrer, so the unlawful prong has surviving predicate violations to borrow.

**Enforcing a Valid Loan.** Oaktree's framing depends on a merits characterization the Court cannot adopt on demurrer. The TAC alleges Oaktree funded and later enforced a transaction as though its own mandatory second position and final QC conditions had been satisfied when its pre-funding materials contained information contradicting those conditions. Whether that course satisfies the unfair or fraudulent prongs of Bus. & Prof. Code § 17200 is a merits question the Court cannot resolve on demurrer.

#### Twelfth Cause of Action for Post-Notice Enforcement:

Oaktree argues the Twelfth Cause of Action is not a recognized cause of action in California and is fatally uncertain under CCP § 430.10(f), and that no condition precedent conditioned Plaintiff's repayment on the lien position of the Oaktree deed of trust. Plaintiff responds that the cause pleads a Civ. Code § 1439 rule and post-notice enforcement, and that if section 1439 is a legal basis to be applied through the Second and Fifth Causes of Action rather than an independent captioned cause, consolidation or leave to amend is the appropriate response.

For the reasons stated on the Ninth Cause of Action, "Post-Notice Enforcement After Failure of Conditions Precedent" is not a recognized independent cause of action, and Plaintiff's alternative framing argument that the section 1439 theory could be applied through the Second and Fifth Causes of Action confirms the caption does not stand on its own. Section 1439 states a rule of contract performance, not an independent right of action, and the underlying theory remains available through Plaintiff's Second Cause of Action for breach of contract. Re-captioning an unrecognized cause of action would add no relief not already available through the surviving causes. The Court need not reach Oaktree's separate uncertainty argument because the threshold defect disposes of the demurrer.

#### 13th Cause of Action for Rosenthal Fair Debt Collection Practices Act:

The Thirteenth Cause of Action alleges that Oaktree, directly and through its servicer, engaged in post-dispute collection conduct violating the Rosenthal Fair Debt Collection Practices Act, including continued billing after Plaintiff's written notices of dispute, a December 16, 2025 autopay withdrawal after written stop instructions, credit reporting pressure, and repeated calls after cease demands. (TAC ¶¶ 108–115.)

Oaktree argues (1) the collection conduct of which Plaintiff complains is pleaded against the "Servicer DOE Defendants," not Oaktree, and Oaktree has not serviced or collected on the loan, (2) the claim is fatally uncertain under CCP § 430.10(f), because the TAC repeatedly alleges violations by "Oaktree and/or Servicer DOE Defendants" without identifying a single specific act attributable to Oaktree, and (3) the only communication tied to Oaktree is its counsel's response about a disputed debt, which the Rosenthal Act does not target.

Plaintiff responds that the TAC identifies concrete post-dispute collection conduct including continued billing and payment demands, a December 16 withdrawal after written stop instructions, credit reporting pressure, repeated calls, and counsel's position that there would be no pause, and alleges the servicer collected the Oaktree loan in Oaktree's name and under Oaktree's authority. Plaintiff argues agency, authorization, and

ratification are factual questions that cannot be resolved on demurrer.

The Rosenthal Act reaches “debt collectors,” and Civ. Code § 1788.17 incorporates specified provisions of the federal Fair Debt Collection Practices Act. Whether a creditor is liable for collection conduct performed by its servicer turns on the agency and authority relationship between them, which is a factual question. (TAC ¶¶ 108, 110, 112–114.) Plaintiff has pleaded that the servicer collected the Oaktree loan in Oaktree’s name and under Oaktree’s authority, and has identified specific post-dispute collection acts and Oaktree’s counsel’s position on the pause request. That is enough to survive demurrer where discovery is needed to resolve the servicing and authority arrangement.

Oaktree’s uncertainty argument does not carry on this pleading. A demurrer for uncertainty lies only where a pleading is so unintelligible that the defendant cannot reasonably respond. The TAC identifies the challenged conduct with sufficient specificity to give Oaktree fair notice of the theory. Whether particular acts were performed by Oaktree directly, by the servicer under Oaktree’s authority, or subject to Oaktree’s ratification is a merits inquiry, not a pleading defect.

#### 14th Cause of Action for Dependent Adult Financial Abuse:

The Fourteenth Cause of Action alleges that Oaktree took or retained Plaintiff’s property for wrongful use under Welf. & Inst. Code § 15610.30, by collecting and retaining loan payments after its own September 10 Notice of Claim acknowledging the lien position failure and after receiving written notice of Plaintiff’s disability and alleged medical and financial harm. (TAC ¶¶ 19–21, 108–115.)

Oaktree argues (1) seeking repayment of a valid loan is not a taking for a “wrongful use” under Welf. & Inst. Code § 15610.30, (2) the TAC fails to plead facts establishing Plaintiff’s statutory dependent adult status under *Das v. Bank of America, N.A.* (2010) 186 Cal.App.4th 727, 744–45, and (3) the same servicer attribution defects raised on the Thirteenth Cause of Action apply.

Plaintiff responds that section 15610.30 reaches taking, retention, and assistance in taking or retaining property for wrongful use, defined to include conduct the defendant knew or should have known was likely harmful to the dependent adult, and that the TAC pleads her statutory status, disability information in the origination file, retention of payments after the September 10 Notice of Claim, and continued enforcement despite known harm. Plaintiff distinguishes *Das* on the ground that the actual knowledge defect there is not present here.

The TAC alleges Plaintiff’s statutory status as a dependent adult under section 15610.23 based on physical and mental limitations restricting her ability to carry out normal activities or to protect her rights. (TAC ¶¶ 19–21.) Taken as true, that allegation is sufficient at the pleading stage. The TAC further alleges Oaktree’s pre-funding possession of disability information and DRIVE/DataVerify materials, retention of payments after Oaktree’s own Notice of Claim, and continued enforcement after notice of alleged medical and financial harm. (*Id.* at ¶¶ 19–21, 108–115.) Those allegations frame the wrongful use question as a merits inquiry, not a defect on the face of the pleading. *Das* rejected assistance liability where the actual knowledge element was missing. Plaintiff has pleaded knowledge no later than Oaktree’s own September 10 Notice of Claim, which distinguishes *Das*’s actual knowledge defect. Oaktree’s servicer attribution argument fails for the reasons stated on the Thirteenth Cause of Action.

#### 15th Cause of Action for IIED:

The Fifteenth Cause of Action alleges that Oaktree engaged in a cumulative course of extra-contractual conduct causing severe emotional distress, including an October 2025 executive level FBI referral threat after Oaktree's own Notice of Claim acknowledged the lien position failure, a later autopay withdrawal after written stop instructions, repeated calls after cease demands, and continued enforcement after repeated written notice of Plaintiff's disability. (TAC ¶¶ 19–21, 108–115, 124.)

Oaktree argues (1) enforcing a valid loan is not outrageous as a matter of law, (2) emotional distress damages are unavailable in an action arising out of an ordinary commercial contract, (3) the challenged conduct is largely pleaded against the servicer, and (4) Oaktree was within its rights to report suspected fraud on a federally certified loan application under 18 U.S.C. § 1001.

Plaintiff responds that the TAC pleads a cumulative course of extra-judicial conduct including an October 2025 threatened FBI referral by an Oaktree executive after Oaktree's September 10 Notice of Claim identified the lien position problem, a later withdrawal after written stop instructions, repeated calls after stop demands, and continued enforcement after repeated notice of disability and alleged harm. Plaintiff invokes *Alcorn v. Anbro Engineering, Inc.* (1970) 2 Cal.3d 493, 498, fn. 4, and *Christensen v. Superior Court* (1991) 54 Cal.3d 868, 903, for the principle that outrageousness is evaluated in context and knowledge of particular susceptibility may bear on the inquiry.

The outrageousness inquiry is context sensitive. Taken as true and evaluated in the aggregate, the pleaded course—an executive level FBI referral threat after Oaktree's Notice of Claim acknowledged the lien position failure, autopay withdrawal after written stop instructions, repeated calls after cease demands, and continued enforcement despite alleged knowledge of Plaintiff's disability and warnings of harm (TAC ¶¶ 19–21, 108–115, 124)—is not equivalent to routine collection on a valid loan. Whether it meets the outrageousness standard is a fact intensive question for the merits. Although emotional distress recovery for breach of an ordinary commercial contract is unavailable (*Erllich v. Menezes* (1999) 21 Cal.4th 543, 558), the Fifteenth Cause of Action rests on extra-contractual conduct. Oaktree's servicer attribution argument fails for the reasons stated on the Thirteenth Cause of Action, and Oaktree's justification for the FBI referral rests on disputed facts not resolvable on demurrer.

#### 16th Cause of Action for Aiding and Abetting/Concerted Misconduct:

Oaktree argues aiding and abetting is not a freestanding cause of action but a theory of derivative liability requiring an underlying tort, that Plaintiff's underlying tort theories against Oaktree fail so there is no predicate wrong for Oaktree to have aided or abetted, and that the claim is additionally uncertain under CCP § 430.10(f).

Plaintiff responds that California recognizes aiding and abetting liability where a defendant knows another's conduct constitutes a breach of duty and gives substantial assistance or encouragement (*Casey v. United States Bank Nat'l Ass'n* (2005) 127 Cal.App.4th 1138, 1144), and that the theory is pleaded in the alternative because the precise pre-funding communication path is not yet produced, though the known foundation includes Rocket Close's May 15 title report, Oaktree's May 12 and July 7 lender side records, the final QC gate, second position condition, and funding sequence.

Aiding and abetting is a recognized theory of liability in California that attaches to an underlying tort. (*Casey v. United States Bank Nat'l Ass'n* (2005) 127 Cal.App.4th 1138,

1144.) The Seventh, Eighth, Fourteenth, and Fifteenth Causes of Action against Oaktree survive demurrer for the reasons stated above. Those surviving tort causes supply predicate wrongs to which aiding and abetting liability could attach. On demurrer, the TAC's allegations of the pre-funding information channels between Rocket Close and Oaktree, together with the funding sequence, are sufficient to plead the theory in the alternative. Whether Plaintiff can ultimately prove substantial assistance or encouragement given the alleged communication path is a merits question, not a pleading defect.

18th Cause of Action for Quiet Title:

The Eighteenth Cause of Action alleges that Plaintiff owns the property, that Oaktree's recorded deed of trust constitutes an adverse claim, and seeks a determination of title under CCP § 761.020. (TAC ¶¶ 155–160.)

Oaktree argues (1) it holds no ownership interest in the property and is not a proper party to a quiet title claim, (2) a mortgagor cannot quiet title against her secured lender without alleging tender of the full amount owed, and (3) there is no adverse claim to be quieted absent foreclosure and no joinder of all lienholders.

Plaintiff responds that the TAC is verified and alleges Plaintiff's ownership, the property description, Oaktree's recorded deed of trust claim, the determination sought, and the requested relief under CCP § 761.020. Plaintiff argues a deed of trust lien is an adverse claim within a quiet title dispute even without foreclosure, invokes the tender exception recognized in *Lona v. Citibank, N.A.* (2011) 202 Cal.App.4th 89, 112–113, where the action attacks the validity of the underlying debt or asserts qualifying offsets, and asserts any tender or joinder defect is curable.

The California rule requires a mortgagor to tender the full amount owed before quieting title against a secured lender. (*Shimpones v. Stickney* (1934) 219 Cal. 637, 649; *Aguilar v. Bocci* (1974) 39 Cal.App.3d 475, 477–78.) *Lona* recognizes exceptions where the action attacks the validity of the underlying debt or asserts qualifying offsets. The TAC's Second Cause of Action for breach of contract survives on the theory that Oaktree failed to satisfy its own written pre-funding conditions, and the TAC alleges offsets and equitable adjustment. Whether the *Lona* validity and offset exception applies on these facts is a merits question the Court cannot resolve on demurrer where the underlying enforceability challenge remains pleaded.

The court deems that the added causes of action in the TAC are permitted.

Defendant Oaktree's Request for Judicial Notice Exhibits 1-3 GRANTED.

Defendant Oaktree's Demurrer to the 2<sup>nd</sup>, 6<sup>th</sup>-8<sup>th</sup>, 10<sup>th</sup>, 11<sup>th</sup>, 13<sup>th</sup>-18<sup>th</sup> Causes of Action OVERRULED.

Defendant Oaktree's Demurrer to the 5<sup>th</sup>, 9<sup>th</sup> and 12<sup>th</sup> Causes of Action SUSTAINED WITHOUT leave to amend.

Defendant to file an answer within 15 days.

12.

| CASE #      | CASE NAME                   | HEARING NAME                                                                                                                                                                                                                 |
|-------------|-----------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| CVPS2508295 | LITTLE VS ROCKET CLOSE, LLC | MOTION TO STRIKE 3RD AMENDED COMPLAINT FOR BREACH OF CONTRACT/WARRANTY (OVER \$35,000) OF AUDREY LITTLE BY DEFENDANTS ROCKET CLOSE, LLC, ROCKET CLOSE, LLC (F/K/A AMROCK TITLE CALIFORNIA, INC.), AND ROCKET COMPANIES, INC. |

**Tentative Ruling:** Oaktree also moves to strike the punitive damages allegations at TAC paragraphs 30, 41, 44, 45, 92, and 128, and Prayer paragraph 159. Oaktree argues the allegations are conclusory recitations of Civ. Code § 3294 language that do not plead “despicable conduct,” and that the corporate agent allegations fail to identify a specific officer, director, or managing agent who authorized or ratified the challenged conduct with advance knowledge under section 3294(b).

Plaintiff responds that V19 ties punitive relief to specific pleaded facts on fraud, malice, and oppression under section 3294(c), including the September 10 Notice of Claim signed by Robert R. Teague as Oaktree’s SVP/Director of Compliance and General Counsel and copied on its face to Co-CEOs Stephen Lippens and Kristopher Martin, the October 25, 2025 telephone call in which Teague allegedly threatened to report Plaintiff to the FBI to coerce payment on the disputed debt, and the December 16, 2025 autopay withdrawal after written stop instructions.

**Surviving causes supply punitive predicates.** The demurrer to the Seventh (fraudulent concealment), Eighth (fraudulent inducement), Fourteenth (dependent adult financial abuse), and Fifteenth (IIED) Causes of Action as to Oaktree is overruled. Each of those causes is a recognized punitive eligible tort or statutory theory. The punitive allegations are anchored to those causes and are not directed at ordinary contract or negligence theories alone.

**Factual sufficiency under Civ. Code § 3294(c).** Read as a whole and taken as true on a motion to strike, V19 alleges concrete conduct beyond boilerplate: an executive-level FBI referral threat by Teague, the same officer who, as Oaktree’s SVP/Director of Compliance and General Counsel, had signed the September 10 Notice of Claim acknowledging the lien position failure, autopay withdrawal after written stop instructions, and continued enforcement despite alleged knowledge of Plaintiff’s disability and warnings of medical, financial, credit, caregiver, and family harm. (TAC ¶¶ 19–21, 38–41, 124.) Whether that course rises to malice, oppression, or fraud, and whether it constitutes despicable conduct, are fact intensive questions not resolvable on a pleading motion. Oaktree’s argument that its conduct amounts to lawful loan enforcement rests on its own factual narrative, which the Court cannot adopt as true on a motion to strike.

**Civ. Code § 3294(b) corporate authorization.** In *White v. Ultramar, Inc.* (1999) 21 Cal.4th 563, 566–67, the California Supreme Court defined managing agent status by substantial discretionary authority over corporate policy, not by title alone. V19 identifies Robert R. Teague as Oaktree’s SVP-Director of Compliance and General Counsel, the signatory of the September 10 Notice of Claim, which was copied to Co-CEOs Stephen Lippens and Kristopher Martin. It alleges that Teague and the Co-CEOs exercised substantial discretionary authority over Oaktree’s legal, claims, and enforcement decisions, and that Oaktree ratified the post-notice course through them. That is enough

at the pleading stage to place the section 3294(b) requirements at issue. Whether Plaintiff can prove by clear and convincing evidence that these actors qualify as officers, directors, or managing agents, and that they authorized or ratified the challenged conduct with advance knowledge of its wrongful character, is a merits question.

Defendant Oaktree's Motion to Strike DENIED.

13.

| CASE #      | CASE NAME                      | HEARING NAME                                                                                                                                                                                                                                 |
|-------------|--------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| CVPS2508295 | LITTLE VS ROCKET<br>CLOSE, LLC | MOTION FOR RECONSIDERATION OF<br>PLAINTIFF'S PROTECTIVE MOTION<br>FOR RECONSIDERATION AND<br>CLARIFICATION OF JULY 21, 2026<br>DISCOVERY ORDER PURSUANT TO<br>CCP § 1008(A), OR ALTERNATIVELY<br>RENEWED MOTION PURSUANT TO<br>CCP § 1008(B) |

**Tentative Ruling:** No tentative ruling, a hearing shall be conducted.